



Concentrated on Hyperscalers

[\\$IG credit is a tale of two cities: Hyperscalers and everything else](#)

Hyperscaler issuance has been an ever-present theme for credit markets since Q4'25. AI-capex spending has been the predominant driver of US growth this year and the \$IG market has been at the forefront of funding this build-out. **We have recommended a nimble stance** to navigate this debt barrage. At the [end of last year](#), we positioned for an underweight in the space and maintained this view through Q1, given rising investor fears on front-loaded hyperscaler supply. We then went overweight [at the start of Q2](#), as valuations cheapened notably and our comfort with company fundamentals was still intact, before shifting to a [market-weight in mid-July](#), as Amazon's \$25bn deal did signal that hyperscaler issuance would be higher than our initial expectations.

Investor demand for hyperscalers is still certainly present. But the marginal buyer is becoming **more selective, especially at longer-duration tenors**, where we believe demand is generally becoming more sluggish as underlying rate volatility increases. The recent jumbo deals since late-June have required **wider concessions**, and **secondary performance has been weak** even with the recent Tech rally ahead of the Alphabet deal yesterday. That Alphabet deal itself came in 12-15bps cheap to the rest of its curve, despite being nearly 4 times oversubscribed

To put the YTD underperformance in perspective, \$IG hyperscalers, including SPCX and NVDA, have widened 32bps this year, compared to \$IG Non-Fin ex-hyperscaler spreads which are -1bp tighter YTD, and have outperformed hyperscalers in every quarter (Figure 1). Hyperscaler underperformance has been more acute further out the curve, giving the impression that \$IG spread curves have suddenly steepened across the board. However long-end \$IG **spread curve steepening is less pronounced when focusing on ex-hyperscaler bonds** (Figure 2).

This underperformance has been due in large part to outsized supply as these issuers have continuously increased their capex expectations and driven down their free cash flow estimates for the coming years (Figure 3 & 4). **This funding cycle has impacted even the highest rated names**, with overall \$AA spreads now trading near those of \$As. The same hyperscalers that have long been viewed as having the cleanest balance sheets are now absorbing an ever-growing share of the \$IG market as they fund an unprecedented data center buildout, including semiconductor and power infrastructure.

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The scale of the shift is easily visible. Hyperscalers have nearly doubled their share of the \$IG index since the end of 2024, rising to roughly 4.3% of the universe (Figure 5). When combined with broader Technology exposure, the sector is now close to Healthcare and sits just behind Utilities among the largest non-financial sectors within the \$IG index (Figure 6). And another year of heavy net supply would make this increase more material. If hyperscalers were to add another roughly \$250bn of net issuance, while other sectors maintain similar net issuance patterns, **Technology plus hyperscaler debt could grow toward 11% of the index** by the end of 2027 and potentially eclipse the Utility sector in terms of size (Figure 7). That would represent a meaningful shift in benchmark construction.

The concentration issue is most acute at the long end. **Hyperscalers now make up about 21% of the 30-year \$IG bucket**, while Hyperscalers and TMT together account for nearly half of all 30-year bonds in the index (Figure 8). AMZN and META alone represent more than 5% of long-end bonds each, with ORCL not far behind (Figure 9). This reflects the maturity profile of year-to-date supply. **Nearly 40% of 30-year deals this year have come from hyperscalers**, versus closer to 20% for 7-10yr supply and 9-13% across other tenor buckets (Figure 4). Investors who own a higher share of long-duration assets therefore have a much larger embedded exposure to AI capex financing than headline sector weights might suggest.

For credit investors, the risk is therefore probably best framed as a portfolio construction challenge. Investors who are focused on long-duration assets like **pension funds and life insurers are concerned about running into concentration limits**, given the size of the overweights further out the curve. However, these are still relatively strong assets. At the issuer level, **ratings pressure on the higher rated names is likely to remain limited for now** because [leverage is still low relative to most corporates](#) as we showed last month. Additionally, most of these issuers still have ample liquidity, and management teams have **shown flexibility to raise capital** through debt, equity, off balance sheet leasing, project finance deals, and tap private credit/direct lending. Any depreciation and return-on-capital burden from today's capex may take a good deal of time to show up. There could be greater hyperscaler dispersion in the coming months if AI revenues ramp slower than expected, with investors rewarding issuers with stronger free-cash-flow conversion and more disciplined capital allocation. But for now, **we keep the Hyperscalers as a market-weight**. Potential deal flow through September will act as a headwind, [and the risk of a tactical rise in general market volatility following the recent spike in US real rates](#) won't help sentiment on a struggling sector. **But we would look to get tactically overweight on issuance-driven or equity-driven weakness ahead**, as we still see the fundamentals intact for these companies over the short to medium-term.

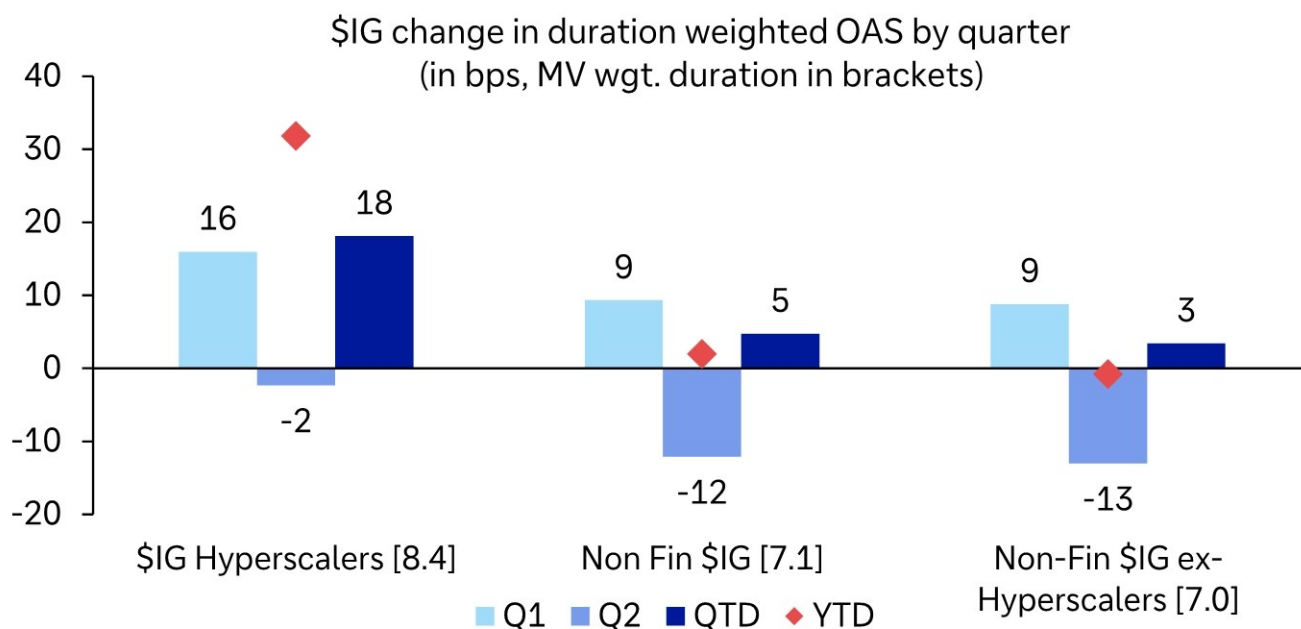
At a more granular level, hyperscaler long-end bonds have cheapened the most visibly, but aggregate \$IG curves still remain relatively flat when excluding the hyperscalers (Figure 10). That means investors are not necessarily being paid broadly for taking long-end spread duration outside the specific AI-supply complex, particularly when broader M&A-related issuance has picked up. At the same time, the belly of the \$IG curve is seeing near-record net supply, yet spreads are still tighter YTD, highlighting that demand for intermediate \$IG paper is extremely significant. Hence our curve view can be viewed through a hyperscaler/ex-hyperscaler lens. **We remain overweight 1-7yr \$IG ex-hyperscaler bonds and would put on hyperscaler 10s30s flatteners as we believe issuers will be reticent of further drowning the long-end. We remain neutral 1-7yr \$IG hyperscaler bonds**; cheaper valuations + a stronger demand base should keep spreads anchored, but



the risk of shorter tenor hyperscaler supply to fill out their funding needs is now growing.

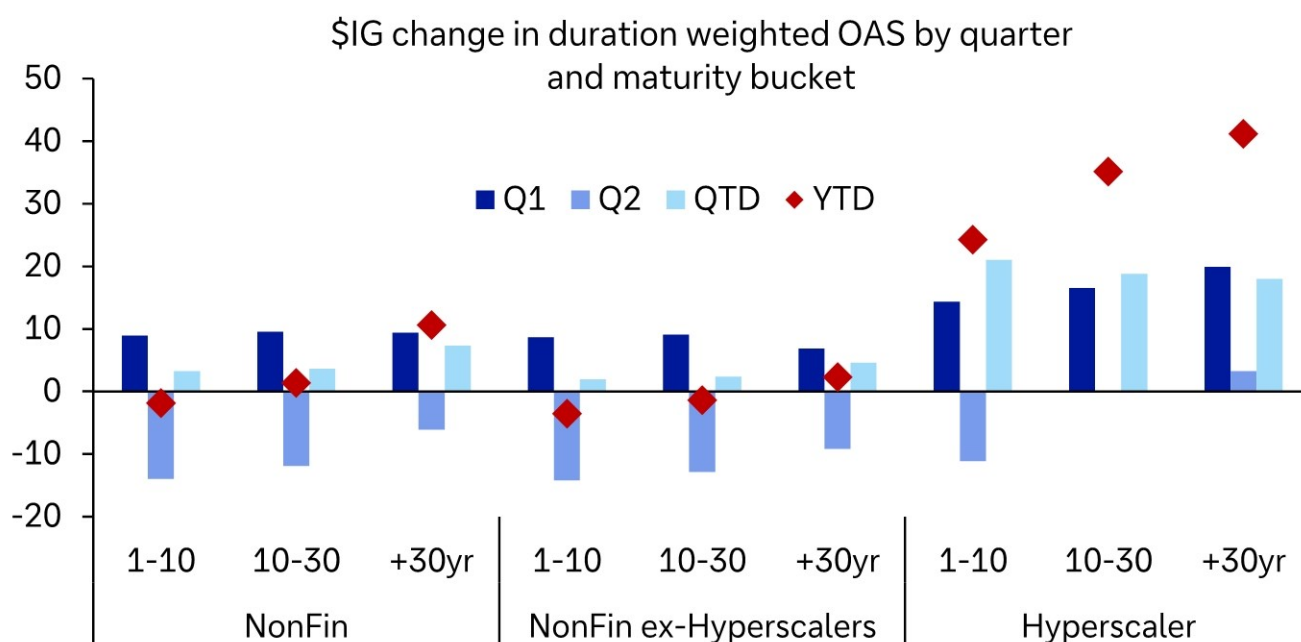


Figure 1: Non-Fin \$IG spreads are slightly tighter YTD , when excluding the Hyperscalers



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX

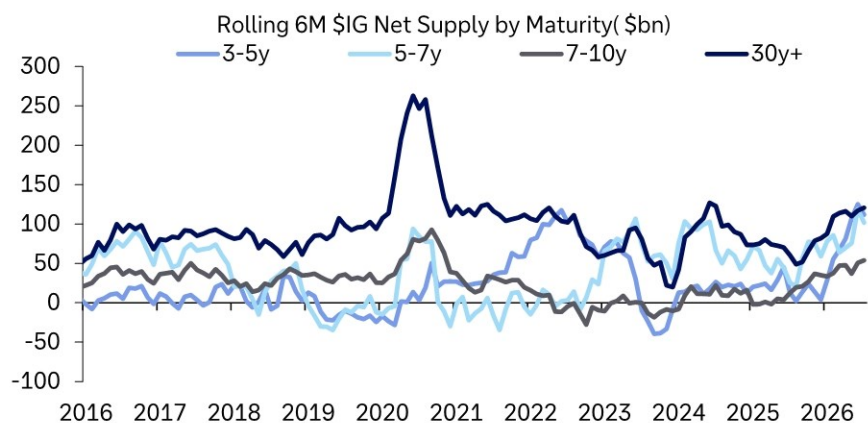
Figure 2: The Hyperscaler underperformance is most acute further out the curve, while Non-Fin ex-Hyperscaler spread curves have steepened far less this year.



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX



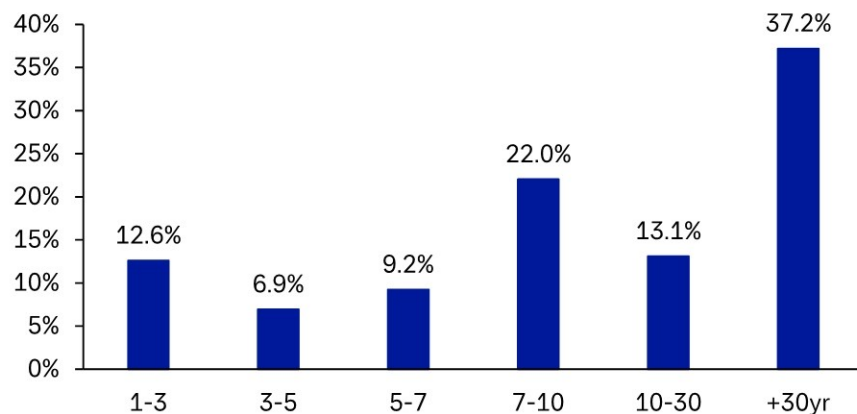
Figure 3: Net supply in the belly of the curve is near record levels, while long end supply is heavy but not unprecedented. Yet the belly is outperforming. This signals that part of the hyperscaler supply indigestion is a tenor mistake, and that these companies may be underestimating that demand for long-duration fixed income has shrunk.



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: Hyperscalers comprise an outsized share of long-end supply, but their impact on the rest of the curves is far less material.

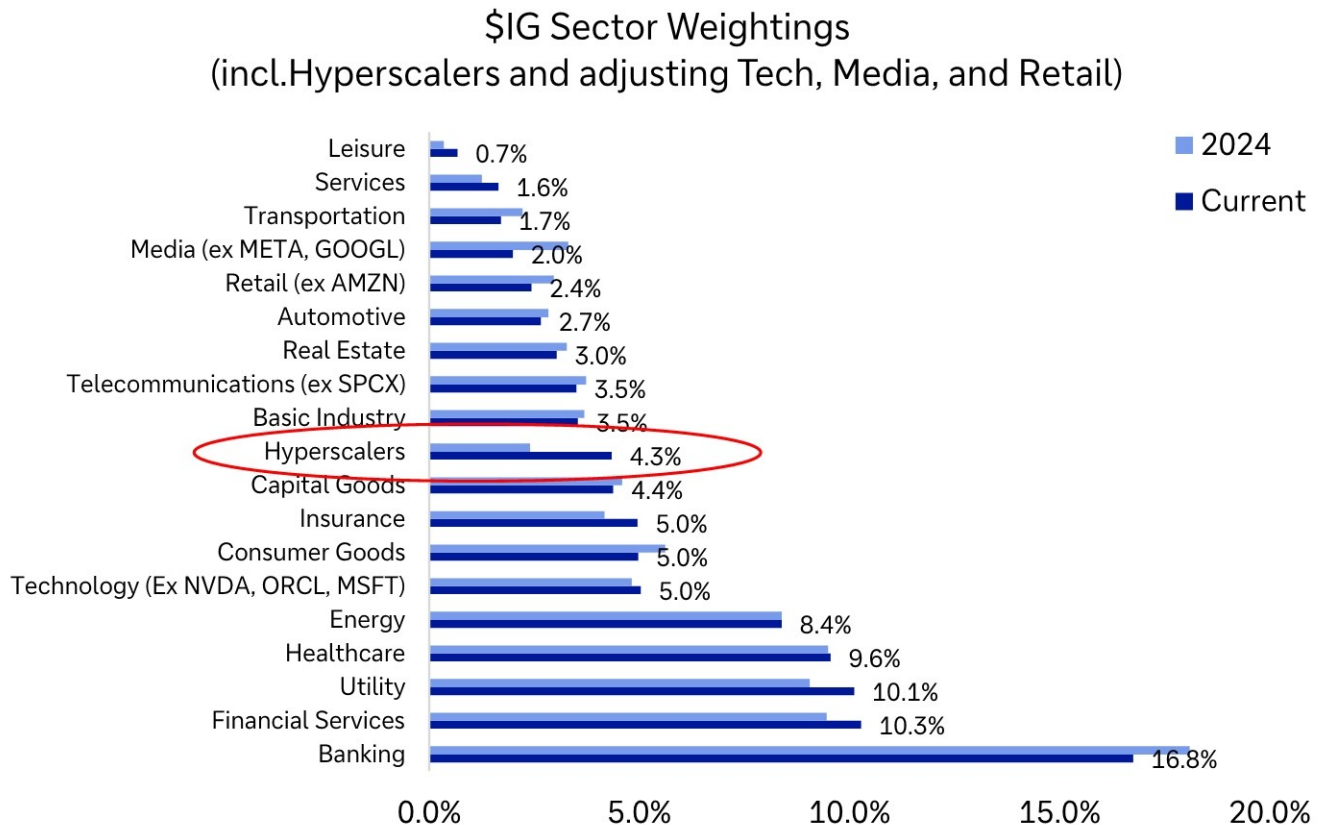
YTD Hyperscaler issuance (incl. SPCX & NVDA) as a % of overall %IG supply by tenor



Source : Deutsche Bank, Bloomberg Finance LP
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX

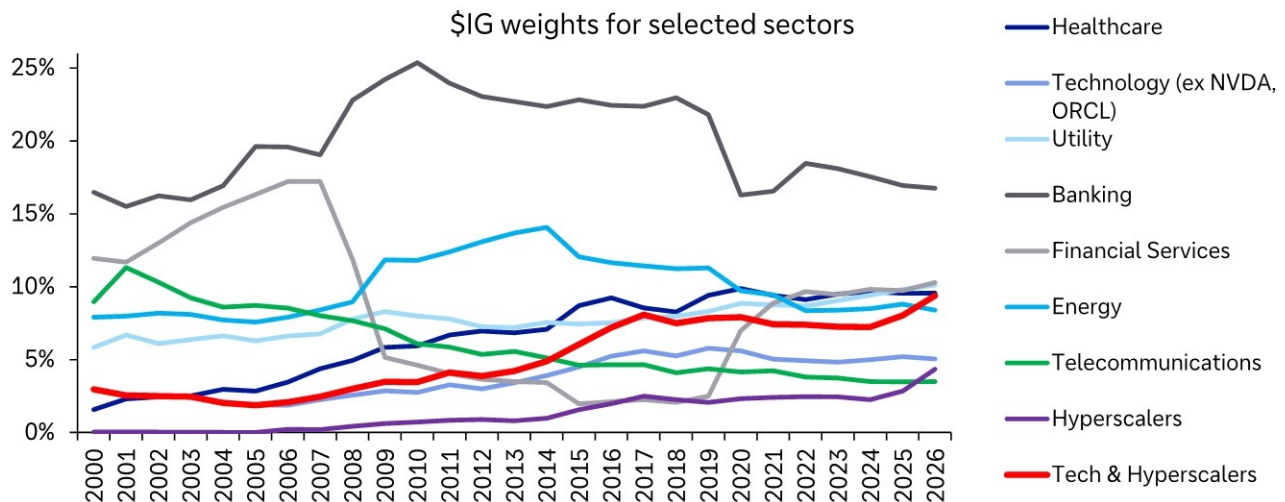


Figure 5: This rush of issuance over the last 12 months has seen Hyperscalers nearly double their share of the \$IG index since December 2024.



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX

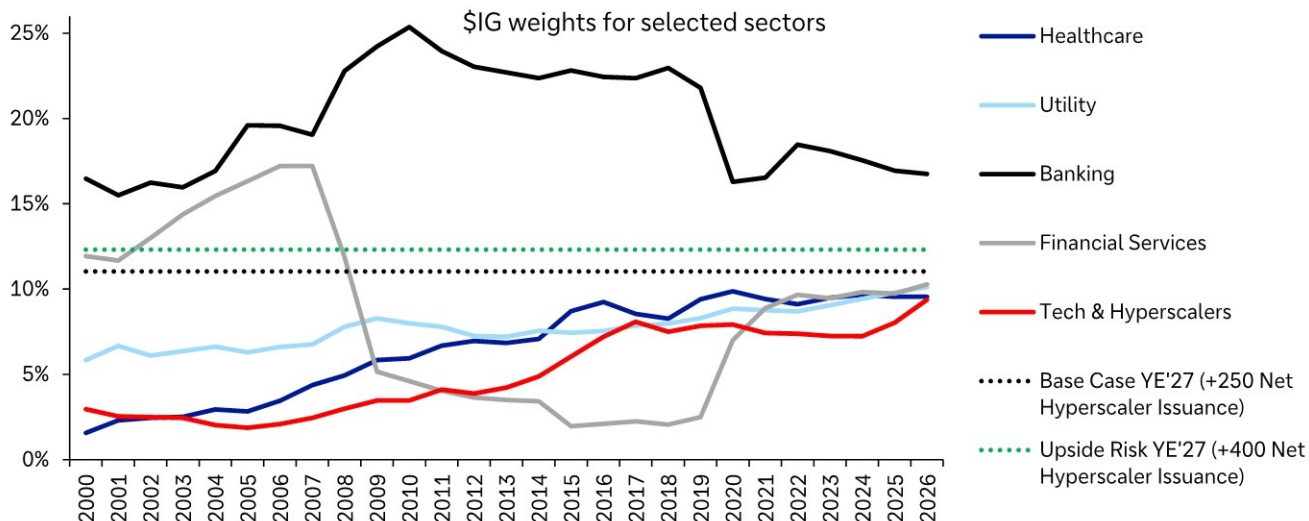
Figure 6: Hyperscalers & Technology combined make up nearly the same share of the \$IG index as Healthcare, sitting just behind Utilities as the largest Non-Financial sector.



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX



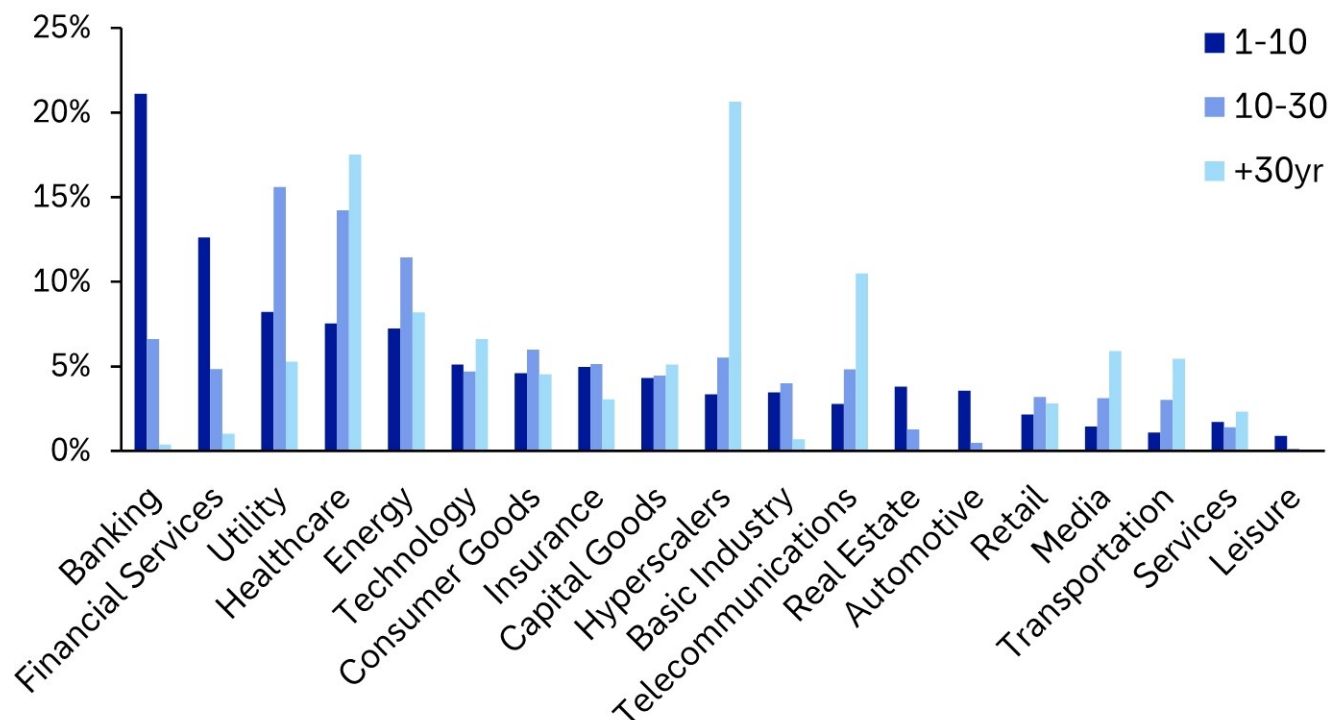
Figure 7: Another busy year for Hyperscaler issuance next year with \$250bn of net supply, while maintaining a similar level of net issuance from other sectors, Tech & Hyperscalers could grow to 11% of the index, eclipsing Utilities.



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX

Figure 8: Hyperscalers make up 21% of the 30yr \$IG bucket currently, with Hyperscalers and TMT making up nearly half of all 30yr bonds in the index.

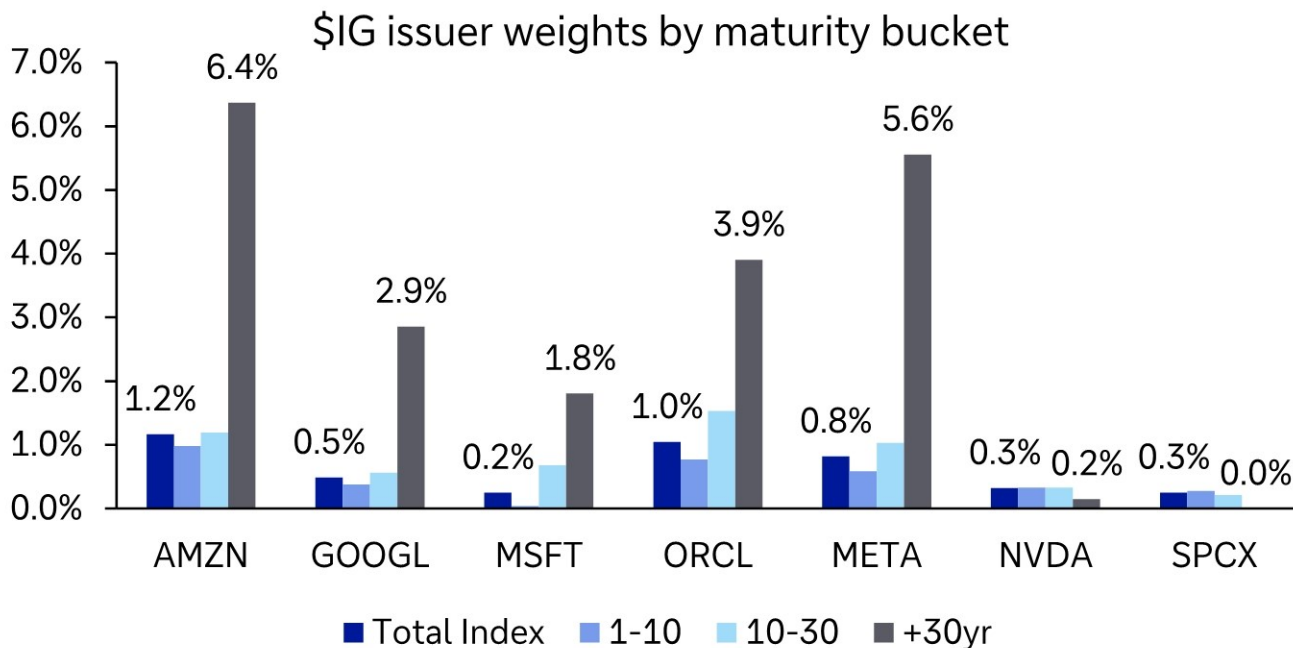
\$IG Sector weights by maturity bucket



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices
Hyperscalers include MSFT, AMZN, META, GOOGL, ORCL, NVDA, SPCX

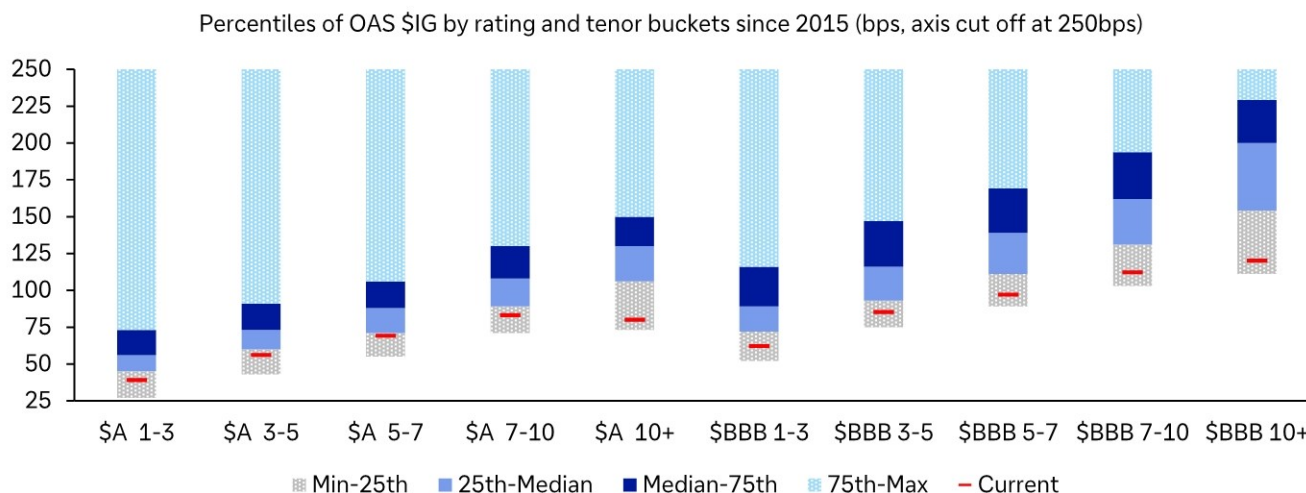


Figure 9: AMZN and META are making up over 5% of all long-end bonds by themselves with ORCL not far behind. This is partially a result of nearly 40% of all 30yr deals this year coming from Hyperscalers



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices

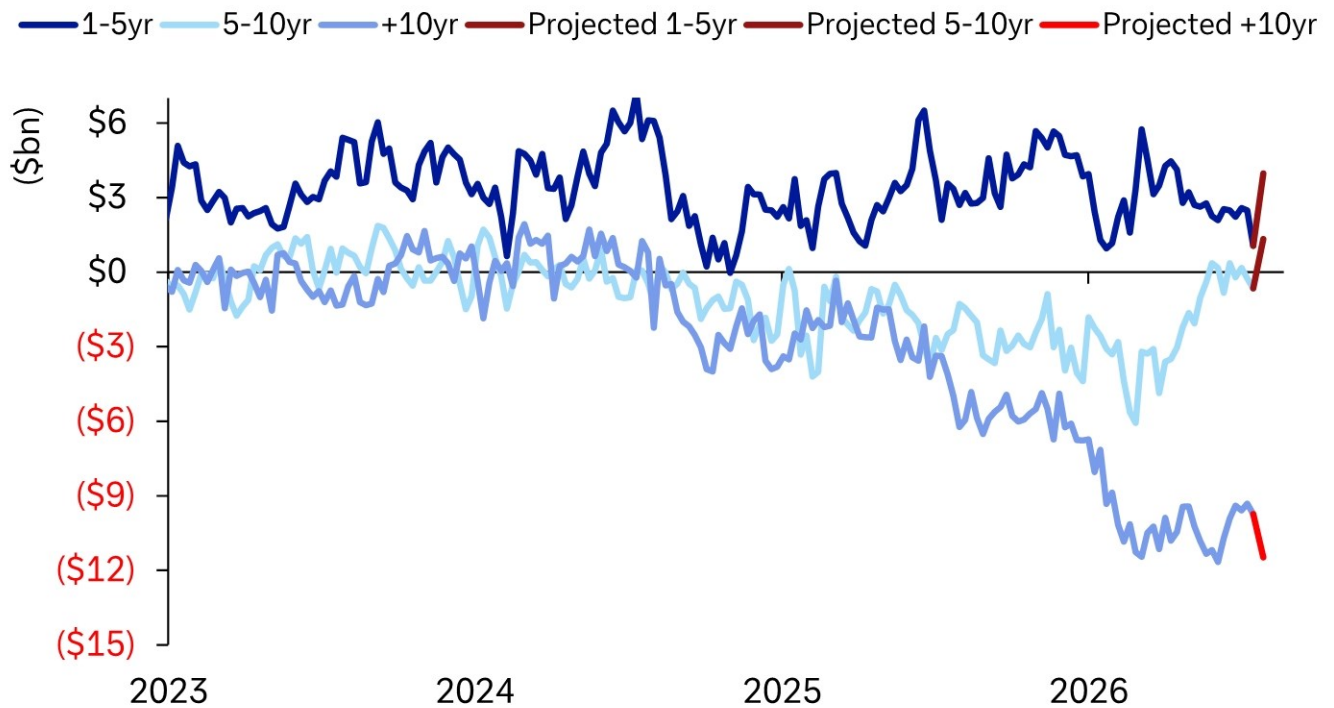
Figure 10: \$IG curves are still relatively flat with the long-end still trading tight ex-Hyperscalers.



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices



Figure 11: The high level of long-end issuance has not filled in the aggregate dealer short we have observed over much of the last year, but the high level of net supply in the belly over the past two quarters has potentially helped fill in the 5-10yr dealer short.



Source : Deutsche Bank, Bloomberg Finance LP, NY Fed
Official Fed data through 7/22 and projection through 8/4



Appendix 1

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